Cyprus (:)

Q2 2026 Gambling Market & Regulatory Brief · Published 20 Oct 2026 (NBA Q2 2026 Financial Results & Quantitative Data; report PDF dated 27 Oct 2026) · Currency EUR (tables in € millions unless stated; ~USD at EUR/USD 1.1394, ECB reference rate 30 Jun 2026)

CONFIDENTIAL · INTERNAL
Prepared: 29 Oct 2026
B2Tech · via Merlin

THE ONE-LINE VERDICT

Cyprus's licensed betting market posted its strongest quarter in the NBA's published series in Q2 2026: GGR +23.6% YoY to €46.9m (~$53.4m) on stakes of €329.8m (~$375.8m, +10.6%), a series-high 14.2% hold, and online (Class B) now 64% of GGR. The regime is narrow (sports betting only; online casino, slots and exchanges prohibited), fiscally stable (15% of GGR all-in; 19 licensees unchanged for six quarters) and tightening at the edges — B2B supplier licensing, retail self-exclusion and social-media advertising enforcement are the live files, tax is not. For an operator the prize is a c.€120m-a-year online GGR pool contested by 13 incumbents; for a technology supplier the coming B2B licence is the more consequential change.

STAKES (PAY-IN), Q2-26	GGR (STAKES − WINNINGS, PRE-TAX), Q2-26	BLENDED HOLD (GGR/STAKES)	ONLINE (CLASS B) SHARE OF GGR	BETTING TAX + CONTRIBUTION (15% OF GGR)	LICENSEES / BETTING PREMISES
€329.8m (~$375.8m)	**€46.9m (~$53.4m)**	**14.2%**	**64.4%**	**€7.0m (~$8.0m)**	**19 (6 Class A, 13 Class B) / 461**
+10.6% YoY / −8.4% QoQ	+23.6% YoY / +2.2% QoQ	+1.5pp YoY; series high	+1.8pp YoY (76.5% of stakes)	+23.6% YoY	flat YoY (premises +1)

1 EXECUTIVE SUMMARY

- **Record quarter for regulated betting.** The National Betting Authority (NBA) reports Q2 2026 (Apr–Jun) stakes of €329,816,209 (~$375.8m), +10.6% YoY vs €298.1m, and GGR (stakes minus winnings, before tax) of €46,882,290 (~$53.4m), +23.6% YoY vs €37.9m — the highest quarterly GGR in the series published since 2023. Winnings paid were €282.9m (~$322.4m, +8.8%).
- **Read the headline carefully — €329.8m is stakes, not revenue.** The NBA labels pay-in as 'comprehensive income' (and in its abstract 'gross gaming revenue (pay in)') and calls true GGR 'net gambling revenue'. Trade-press headlines of 'sports betting grows 11% to €329.8m' therefore describe turnover; the revenue pool is €46.9m a quarter, c.€185m annualised.
- **Hold, not volume, drove the beat.** Blended hold rose to 14.2% from 12.7% a year earlier and 12.7% in Q1-26 — the highest in the 2023–26 series (prior peak 14.1% in Q4-24). Class A (retail) hold hit 21.5% (19.2% Q2-25); Class B (online) 12.0% (10.6%). Stakes fell 8.4% QoQ, in line with normal Q1→Q2 seasonality (−7.1% in 2025, −10.5% in 2024) despite the FIFA World Cup starting 11 June.
- **Online is two-thirds of the market and compounding faster.** Class B stakes €252.3m (~$287.5m, +12.6% YoY) and GGR €30.2m (~$34.4m, +27.2%); Class A stakes €77.5m (~$88.3m, +4.9%) and GGR €16.7m (~$19.0m, +17.5%). Online took 76.5% of stakes (75.2% a year ago) and 64.4% of GGR (62.6%). FY2025 online GGR was €99.7m (~$113.6m, 61.6% of the total).
- **H1 2026: GGR +16.8%.** Stakes €689.9m (~$786.1m, +11.5%); GGR €92.8m (~$105.7m) vs €79.4m; online GGR €59.9m (+23.9%), retail €32.9m (+5.7%). Betting tax (10%) €9.3m (~$10.6m) plus contribution (5%) €4.6m (~$5.3m) = €13.9m (~$15.9m) of levies in six months.
- **FY2025 base and trend.** Full-year 2025 stakes €1,327.0m (~$1,512m, +8.4% vs 2024 €1,224.6m); GGR €161.8m (~$184.4m, +2.6% vs €157.7m) as hold normalised to 12.2% from 12.9%; levies €24.3m (~$27.7m: tax €16.2m + contribution €8.1m). 2026 is re-accelerating: H1 GGR growth of 16.8% vs +2.6% for FY2025. NBA chair Trisokkas has publicly framed 2025 as '>€1.3bn turnover, +8%'.
- **Regulator and law.** The NBA (Εθνική Αρχή Στοιχημάτων) licenses and supervises betting under the Betting Law of 2019, L.37(I)/2019, as amended (most recently by L.162(I)/2024). Two licence classes: Class A (land-based betting in licensed premises, excluding horse racing) and Class B (online betting). Class B explicitly excludes slot machines, online casino games and electronic horse-racing; exchange betting, spread betting and RNG casino products are not licensable. Online casino remains prohibited — there is no liberalisation signal.
- **Tax: 15% of GGR, all-in, base = net proceeds (X − Y).** Betting tax of 10% of net betting proceeds is paid to the Republic and a contribution of 5% to the NBA (per Directive 14.2025.v2: 4% + 1%; the 4% is routed to the Cyprus Sports Organisation/KOA for sport, the 1% to youth protection and gambling-harm programmes). The contribution rose from 3% to 5% effective 30 Dec 2024 (L.162(I)/2024). Note: press coverage at bill stage (Dec 2024) reported 4.5%; the regulator's data and directive show 5% — we use the regulator figure. Payment is monthly, by end of the following month. Free bets/bonuses are treated as stakes when placed (s.74(7)), so promo-led acquisition is taxed.
- **Licensing is cheap on fees but capital-heavy.** Class A or B licence: €30,000 (~$34.2k) for one year or €45,000 (~$51.3k) for two (Betting (Payable Fees) Regulations, R.A.A. 84/2019). Authorised-agent and additional-premises licences €2,000/€3,000 (first premises free; €170/month pro-rata). Applicants need €500,000 (~$0.57m) paid-up share capital, a €550,000 (~$0.63m) bank guarantee from a Cyprus/EU credit institution valid six months past expiry, a Cyprus company or registered branch with betting as principal activity, a .com.cy domain and a backup server in the Republic (capital/guarantee/server details from law-firm summaries, consistent across sources).
- **Operator landscape: 13 online, 6 retail, no published shares.** Class B register (Q2-26): bet365 (Hillside New Media Cyprus, B001), Bet on Alfa (B005), Meridianbet (B009), UBET (B008), Megabetplus/Scorebet (Cleverpath, B011), Winmasters (Level Up Interactive, B004), Fonbet (Fortune Entertainment RG, B012), Allwynbet (OPAP Sports, B017), Stoiximan (B018), IN2BET (I.T.S., B016), Cybet (Betathlon, B021), Novibet (Gamart, B022; licensed Sep 2025) and CopyBet (B020). Class A: Betathlon/Cybet, Bet on Alfa, OPAP Sports/Allwynbet, Meridian, Cleverpath/Megabetplus and Bookieco. Class B count peaked at 14 (Q2–Q3 2024) and has been 13 since Q4-24; Class A fell from 7 to 6 in Q1-24. The NBA publishes no per-operator GGR, so market shares are n/a.
- **Retail is a 461-shop, agent-led network that is still growing GGR.** Premises: Nicosia 162, Limassol 134, Larnaca 83, Paphos 46,

Famagusta 36 (total +1 YoY, +2 QoQ). 338 authorised agents vs only 87 bookmaker-owned shops (−8% YoY) — a franchise model. Persons-in-charge 1,375 (+10%) and total employees 1,584 (+10.3%). Licence cancellations/withdrawals 8 in Q2 (+167% YoY off a base of 3). Average GGR per premises €36.2k (~$41k) per quarter vs €30.8k a year ago.

- **Casino is a separate, monopoly regime.** The Cyprus Gaming and Casino Supervision Commission (CGC) regulates Melco's single 30-year licence (granted 2017) with 15-year exclusivity to 2032 and a 15% gaming duty on GGR that cannot be raised during exclusivity. CGC-reported casino GGR: €130m (2023) → €189m (2024, ~$215m) → €227m (2025, ~$258.6m, +20.1%), with City of Dreams Mediterranean (Limassol, opened Jul 2023) 86% of 2025. Melco's Q2-26 Cyprus revenue was US$82.0m (vs $72.3m, +13.4%) with Adjusted EBITDA US$19.9m (vs $12.4m, +60%); Melco now cites three satellite casinos (Larnaca site reported closed — secondary source).
- **Lottery/numerical games sit with OPAP Cyprus.** OPAP (Allwyn) holds a 15-year exclusive concession (signed mid-2024) for designated games of chance (Joker, Lotto, Proto, Kino, Super 3, Extra 5, Propo, Propogoal) paying 22.5% of GGR in tax plus 5% of GGR in sponsorship; Cyprus was c.7% of OPAP group GGR in H1 2024 (Edison). Cyprus-specific lottery GGR is not published — n/a; a rough cross-check (7% × OPAP FY2025 group GGR €2,408m ≈ €170m) is an estimate only. Combined betting + casino GGR for 2025 was €388.8m (~$443m), excluding lottery.
- **Payments are card/bank-rail only.** Class B accounts may be funded only by bank transfer, debit/credit card or e-money from an authorised issuer; cash and crypto are not permitted; client funds must sit in segregated Cyprus bank accounts with no set-off; retail is cash. Cyprus is a card/bank economy — mobile-money considerations do not apply. Withdrawal within five working days is cited by secondary sources [unverified against the law text].
- **Responsible gambling is moving from online to omnichannel.** A national online self-exclusion platform has operated since Feb 2024; the NBA's 2026–2028 strategic plan seeks to extend self-exclusion to betting shops, strengthen treatment programmes and support vulnerable groups. An NBA survey (Jul 2026, n=1,000, ages 18–35) found 93% saw gambling content on social media, 89% paid betting/online-casino ads and 77% influencer promotions. Problem-gambling prevalence is cited at c.3% by the NBA chair (secondary report; methodology unverified). The 9th Safer Gambling Week ran 12–18 Oct 2026.
- **Enforcement is blocking-led and escalating.** The ISP blocking list reached 22,660 domains at end-June 2026 (+245 in Q2, +406 in Q1, +4.7% YoY; 2,638 in Q1-2017). Participation in illegal gambling carries up to one year's imprisonment/€50,000 (~$57k) fine; operating unlicensed gambling up to five years/€300,000 (~$342k); administrative fines up to €100,000 (~$114k) per finding [secondary]. The NBA has announced plans to gain powers against illegal promotions on social media, apps and search platforms and is lobbying for EU-level cooperation.
- **Political direction: protect, don't liberalise; license the supply chain.** Finance Minister Keravnos (9th Safer Gambling Conference, 12 Oct 2026) stressed growth 'cannot be assessed solely on economic indicators'. The NBA has drafted a bill (flagged Nov 2025, detailed Aug 2026) introducing a first-ever B2B supplier licensing regime and 'legal inclusion of new products' — the latter undefined; nothing indicates online casino. A proposal to restrict gambling by Guaranteed Minimum Income recipients surfaced in Sep 2026 [details unverified]. Parliament showed in Dec 2024 it will raise betting levies to fund football — a ratchet precedent.
- **Read-through for B2Tech.** As a B2C entrant: addressable regulated online GGR is c.€120–125m annualised (H1-26 €59.9m), split among 13 licensees led by Greek-market brands (Stoiximan, Novibet, Allwynbet/OPAP) and bet365; entry requires c.€1.05m of committed capital/guarantee plus €30k fee, a .com.cy site, local server and Greek-language product, with 15% GGR levy, promo taxation and no casino cross-sell. As a B2B platform/feed supplier: the coming supplier licence makes Cyprus a formal EU credential and a compliance obligation — engage early in the consultation.
- **Data caveats.** All betting figures are regulator-reported and gross of tax; casino figures are from Melco (company) and a CGC report relayed by press; lottery GGR, per-operator shares, advertising-code content and the GMI proposal text could not be verified from primary documents.

2 MARKET SUMMARY

€M (~$M AT 1.1394) — NBA LICENSED BETTING UNLESS STATED	Q2-26	QOQ	YOY	H1-26	H1 YOY
LICENSED BETTING — CLASS A (RETAIL) + CLASS B (ONLINE), NBA					
Stakes (pay-in / turnover)	329.8 (~$375.8)	−8.4%	+10.6%	689.9 (~$786.1)	+11.5%
Winnings paid (pay-out)	282.9 (~$322.4)	−9.9%	+8.8%	597.1 (~$680.4)	+10.7%
GGR (stakes − winnings, pre-tax)	**46.9 (~$53.4)**	**+2.2%**	**+23.6%**	**92.8 (~$105.7)**	**+16.8%**
of which online (Class B)	30.2 (~$34.4)	+1.8%	+27.2%	59.9 (~$68.2)	+23.9%
of which retail (Class A)	16.7 (~$19.0)	+2.9%	+17.5%	32.9 (~$37.5)	+5.7%
Blended hold (GGR / stakes)	14.2%	+1.5pp	+1.5pp	13.4%	+0.6pp
Online share of GGR / of stakes	64.4% / 76.5%	−0.3pp / +0.7pp	+1.8pp / +1.3pp	64.6% / 76.1%	+3.7pp / +2.2pp
Betting tax — 10% of GGR, to the Republic	4.69 (~$5.3)	+2.2%	+23.6%	9.28 (~$10.6)	+16.8%
Contribution — 5% of GGR, to NBA (4% sport via KOA / 1% harm prevention)	2.34 (~$2.7)	+2.2%	+23.6%	4.64 (~$5.3)	+16.8%
Total statutory levy (15% of GGR)	**7.03 (~$8.0)**	**+2.2%**	**+23.6%**	**13.91 (~$15.9)**	**+16.8%**
Licensees (Class A / Class B)	6 / 13	flat	flat	6 / 13	flat
Licensed betting premises	461	+2	+1	461	+1
Employees in licensed premises	1,584	+55	+10.3%	1,584	+10.3%
Blocked unlicensed domains (cumulative)	22,660	+245	+4.7%	22,660	+4.7%
FY REFERENCE — LICENSED BETTING					
FY2025 stakes / GGR / levy (15%) *Levy growth inflated by the contribution rising from 3% to 5% on 30 Dec 2024. FY2025 hold 12.2%; online 61.6% of GGR.	1,327.0 (~$1,512) / 161.8 (~$184.4) / 24.3 (~$27.7)	—	+8.4% / +2.6% / +53%*	FY24: 1,224.6 / 157.7 / 20.5	+10.4% / +27.7%
OTHER REGULATED VERTICALS (OUTSIDE NBA BETTING DATA)					
Casino GGR — CGC / Melco monopoly (15% duty on GGR)	FY25: 227 (~$258.6)	—	+20.1% (FY25 vs FY24 189)	Melco Q2-26 Cyprus revenue US$82.0m; Adj. EBITDA US$19.9m	+13.4% / +60%
Lottery / numerical games — OPAP Cyprus (22.5% GGR tax + 5% sponsorship)	n/a	n/a	n/a	n/a (c.7% of OPAP group GGR, H1-24)	n/a
LICENCE ECONOMICS (BETTING LAW 2019; R.A.A. 84/2019)					
Class A or B licence fee	€30,000 (~$34.2k) 1-yr / €45,000 (~$51.3k) 2-yr	—	unchanged	—	—
Paid-up capital / bank guarantee	€500,000 (~$0.57m) / €550,000 (~$0.63m)	—	unchanged	—	—
Authorised agent / extra premises licence	€2,000 (~$2.3k) 1-yr / €3,000 (~$3.4k) 2-yr; €170/month pro-rata	—	unchanged	—	—

3 DEEP-DIVE — ONLINE BETTING (CLASS B)

Online GGR +27% YoY to €30.2m on a 12.0% hold; 13 licensees unchanged, 64% of market GGR and still gaining share.

Q2 2026 ONLINE RESULTS

Online GGR rose 27.2% YoY to €30,210,872 (~$34.4m) on a 12.0% hold, the top of the historical 9–12% range.

- Stakes €252,309,661 (~$287.5m), +12.6% on Q2 2025 (€224.2m) and +19% on Q2 2024; winnings paid €222,098,789 (~$253.1m).
- Stakes fell 7.6% QoQ from Q1's €273.0m but GGR edged up 1.8% as hold improved from 10.9% in Q1 and 10.6% a year earlier.
- FY2025 online hold was 10.0%, so roughly a fifth of Q2 GGR growth is results/mix rather than volume.
- Betting tax on the segment €3.02m (~$3.4m); 5% contribution €1.51m (~$1.7m).

HALF-YEAR AND SHARE

H1 2026 online GGR of €59.9m (~$68.2m, +23.9%) implies a 2026 run-rate of roughly €120–125m; growth is structural channel shift plus hold.

- H1 online stakes €525.3m (~$598.5m, +14.9%); FY2025 online GGR €99.7m (+4.9% that year) and FY2024 €95.0m.
- Online share of market GGR: 55.8% (FY2023), 60.3% (FY2024), 61.6% (FY2025), 64.6% in H1 2026; by stakes it is 76%.
- The segment's growth is not a one-quarter event.

LICENSEES AND SHARES

Supply is static at 13 Class B licensees since Q4 2024, averaging c. €2.3m (~$2.6m) GGR per quarter but almost certainly highly skewed.

- 12 licensees in Q1 2023, peak 14 in Q2–Q3 2024.
- Likely leaders: Stoiximan (title sponsor of 'Cyprus League by Stoiximan'), Novibet (licensed Sep 2025), Allwynbet (OPAP Sports) and bet365.
- Behind them: Fonbet, Meridianbet, Winmasters, Bet on Alfa, UBET, Megabetplus/Scorebet, IN2BET, Cybet and CopyBet.
- NBA publishes no per-operator data; shares are n/a and third-party estimates should be treated as unverified.
- Five of the 13 also hold Class A licences (Betathlon/Cybet, Bet on Alfa, OPAP Sports, Meridian, Cleverpath), giving omnichannel wallets and shop cash-in.

PRODUCT SCOPE

Product scope is the binding constraint: Class B covers fixed-odds sports and events only, with no legal online casino in Cyprus.

- Excludes slot machines, online casino games and electronic horse-racing; exchange, spread and RNG products are not licensable.
- The 2026 reform bill references 'legal inclusion of new products' but gives no indication casino is in scope.
- Operators must use a .com.cy domain, run a parallel backup server in the Republic, and take funds only via bank transfer, cards or authorised e-money — no cash, no crypto.
- NBA youth survey: 89% of 18–35s saw paid online-casino advertising, showing casino demand leaks offshore and the blocking list keeps growing.

LICENCE RENEWALS AND WORLD CUP

Seven renewals fall between 31 Dec 2026 and 19 Mar 2027, the natural point for the NBA to impose new conditions.

- bet365 (B001) and Allwynbet (B017) expire 31 Dec 2026; Bet on Alfa (B005) 23 Jan 2027; Stoiximan (B018) 30 Jan 2027.
- IN2BET (B016) 9 Feb 2027; Cybet (B021) 8 Mar 2027; Meridian (B009) 19 Mar 2027.
- Renewal is routine (two-year terms at €45,000) but may bring self-exclusion integration, advertising undertakings, B2B supplier disclosure.
- Q2 2026 captured only the first ~20 days of the FIFA World Cup (11 Jun–19 Jul); Q3 2026 print, due around January 2027, will show the full effect and whether hold normalises toward 10–11%.

ENTRANT IMPLICATIONS

The regulated online pool is real and growing double-digit but small (c.€30m a quarter), Greek-language, incumbent-dense and promo-taxed.

- Free bets count as stakes under s.74(7).
- A credible plan needs a differentiated sportsbook (pricing, in-play, local football depth) and a retail or payments partnership for cash-in.
- No casino margin exists to subsidise acquisition.
- Marketing intensity is unquantified in regulator data (no spend disclosure).

CLASS B (ONLINE) — €M (~$M)	Q2-26	QOQ	YOY	H1-26	H1 YOY
Stakes (pay-in)	252.3 (~$287.5)	−7.6%	+12.6%	525.3 (~$598.5)	+14.9%
Winnings paid (pay-out)	222.1 (~$253.1)	−8.7%	+10.8%	465.4 (~$530.3)	+13.8%
GGR	**30.2 (~$34.4)**	**+1.8%**	**+27.2%**	**59.9 (~$68.2)**	**+23.9%**
Hold (GGR / stakes)	12.0%	+1.1pp	+1.4pp	11.4%	+0.8pp
Betting tax (10%)	3.02 (~$3.4)	+1.8%	+27.2%	5.99 (~$6.8)	+23.9%
Contribution (5%)	1.51 (~$1.7)	+1.8%	+27.2%	2.99 (~$3.4)	+23.9%
Share of market GGR / stakes	64.4% / 76.5%	−0.3pp / +0.7pp	+1.8pp / +1.3pp	64.6% / 76.1%	+3.7pp / +2.2pp
Licensees	13	0	0	13	0
Avg GGR per licensee	2.3 (~$2.6)	+1.8%	+27.2%	4.6 (~$5.2)	+23.9%
FY2025 reference: stakes / GGR / hold	994.4 (~$1,133) / 99.7 (~$113.6) / 10.0%	—	+10.5% / +4.9% / −0.6pp	FY24: 899.9 / 95.0 / 10.6%	+12.6% / +37.9%

4 DEEP-DIVE — RETAIL BETTING (CLASS A)

Retail GGR +17.5% to €16.7m on a 21.5% hold with a flat 461-shop estate — an agent-led network that is monetising better, not expanding.

Q2 2026 RETAIL RESULTS

Retail GGR rose 17.5% YoY to €16,671,417 (~$19.0m) on a record 21.5% hold, the highest in the published series.

- Six Class A bookmakers took €77,506,547 (~$88.3m) in stakes (+4.9% YoY; +2% vs Q2 2024) and paid out €60,835,130 (~$69.3m); GGR +2.9% QoQ.
- Hold range 18–21% since 2023; 19.2% in Q2 2025; 18.6% in Q1 2026 — consistent with a parlay-heavy shop product and favourable results this quarter.
- H1 2026 retail stakes €164.6m (~$187.5m, +1.8%) and GGR €32.9m (~$37.5m, +5.7%); FY2025 retail GGR €62.1m (~$70.8m, −0.9%).
- Retail is a low-single-digit volume business whose GGR swings with hold.

SHOP ESTATE

The estate is stable at 461 licensed premises and agent-operated, with only 87 run directly by bookmakers.

- 461 at end-June (459 in Q1-26; 460 in Q2-25; 494 in Q2-23): Nicosia 162 (−1% YoY), Limassol 134 (+3%), Larnaca 83 (−1%), Paphos 46 (−4%), Famagusta 36 (+3%).
- Directly operated premises fell 8% YoY from 95 to 87; 338 licensed authorised agents run the remainder, keeping bookmaker capex low.
- Persons in charge of premises rose 10% to 1,375 and total employment 10.3% to 1,584 — rising staffing per shop, not more shops.
- Licence cancellations/withdrawals were 8 in Q2 (18 in Q1; 3 in Q2-25).

UNIT ECONOMICS

GGR per premises was c.€36.2k (~$41k) in the quarter (€30.8k a year earlier), or c.€145k annualised, before levy and costs.

- Costs below that line: 15% levy, agent commission (reported in Annex A but not published), staff and rent.
- Class A excludes horse-racing (run by the Nicosia Race Club) and any Class B services; shops cannot host casino or machine gaming.
- Premises licences cost €2,000/year beyond the first, pro-rated at €170/month; operators file per-premises pay-in/pay-out/offer statements monthly.

PLAYER PROTECTION OUTLOOK

Direction is tighter retail player protection rather than expansion, raising the fixed-cost base for a 461-outlet agent network.

- The 2026–2028 strategic plan proposes extending national self-exclusion (online-only since Feb 2024) to betting shops, requiring identification at point-of-bet or pay-out.
- The Sep 2026 Guaranteed Minimum Income proposal, if enacted, would add eligibility checks.
- For an entrant, retail is about partnering with one of six Class A licensees or their agents for cash deposit/withdrawal points, as five dual-licensed incumbents already enjoy.

CLASS A (RETAIL) — €M (~$M) UNLESS STATED	Q2-26	QOQ	YOY	H1-26	H1 YOY
Stakes (pay-in)	77.5 (~$88.3)	−11.0%	+4.9%	164.6 (~$187.5)	+1.8%
Winnings paid (pay-out)	60.8 (~$69.3)	−14.2%	+1.9%	131.7 (~$150.1)	+0.9%
GGR	**16.7 (~$19.0)**	**+2.9%**	**+17.5%**	**32.9 (~$37.5)**	**+5.7%**
Hold (GGR / stakes)	21.5%	+2.9pp	+2.3pp	20.0%	+0.7pp
Betting tax (10%) / contribution (5%)	1.67 (~$1.9) / 0.83 (~$0.95)	+2.9%	+17.5%	3.29 (~$3.7) / 1.64 (~$1.9)	+5.7%
Licensees	6	0	0	6	0
Licensed premises (total)	461	+2	+1	461	+1
— Nicosia / Limassol / Larnaca / Paphos / Famagusta	162 / 134 / 83 / 46 / 36	−2 / +2 / +2 / 0 / 0	−1% / +3% / −1% / −4% / +3%	—	—
Bookmaker-operated premises / authorised agents	87 / 338	+3 / −1	−8% / 0%	—	—
Persons in charge / total employees	1,375 / 1,584	+56 / +55	+10.4% / +10.3%	—	—
Licence cancellations/withdrawals	8	−10	+167% (from 3)	26	vs 11
GGR per premises (quarter, €k)	36.2 (~$41.2k)	+2.4%	+17.3%	—	—
FY2025 reference: stakes / GGR / hold	332.6 (~$379) / 62.1 (~$70.8) / 18.7%	—	+2.4% / −0.9% / −0.6pp	FY24: 324.7 / 62.7 / 19.3%	+4.7% / +15.0%

5 DEEP-DIVE — LICENSING, TAX & OPERATOR LANDSCAPE

A low-fee, capital-gated, GGR-taxed regime at 15% all-in, stable since the Dec 2024 levy rise — with B2B supplier licensing the next structural change.

LICENSING FRAMEWORK

The Betting Law of 2019 (L.37(I)/2019) creates a low-fee, capital-gated regime under the National Betting Authority with no cap on Class B licences.

- Licences for one or two years (fees €30,000 / €45,000, ~$34k / ~$51k) to a Cyprus company or overseas company with Cyprus branch; fit-and-proper tests on directors, UBOs, key persons.
- Gates: €500,000 (~$0.57m) paid-up capital plus €550,000 (~$0.63m) bank guarantee valid six months after expiry, recoverable for tax unpaid over 60 days.
- Refused applicants get 75% of the fee back (s.31); audited accounts and annual report due 30 June (s.71); administrative fines up to €100,000 (~$114k) per finding cited by secondary sources.
- No local-ownership requirement; localisation via Cyprus entity, .com.cy domain and in-country backup server.

TAX REGIME

Tax is 15% all-in on GGR (10% betting tax plus 5% NBA contribution), with no turnover tax and promotions inside the base.

- Net betting proceeds = 'X' (amounts paid for bets) minus 'Y' (winnings paid, including returned/void stakes and withdrawable amounts); no player-level withholding seen in NBA data (not verified).
- Under s.74(7) free bets or discounted stakes are deemed paid in full.
- Contribution lifted from 3% to 5% from 30 December 2024 by L.162(I)/2024, passed 27 votes to a contested minority, doubling the football federation slice from 1.5% to 3%.
- Directive 14.2025.v2 splits the 5% as 4% for sport via KOA (and an ethics committee) plus 1% for youth-protection/harm programmes; press reported 4.5% at bill stage but enacted rate is 5%.

FISCAL YIELD

Betting levies were €24.3m (~$27.7m) in FY2025 and €13.9m (~$15.9m, +16.8%) in H1 2026; betting is the lightest-taxed vertical in Cyprus.

- FY2025 betting tax €16.2m (~$18.5m) and contribution €8.1m (~$9.2m); FY2026 levies c.€27–28m on current trends (estimate).
- Casino pays 15% duty on €227m of 2025 GGR (implied c.€34m, estimate); OPAP Cyprus pays 22.5% + 5%.
- The contribution, rather than the headline 10%, is the lever most exposed to future political demands (sport funding, treatment programmes).

OPERATOR ROSTER

The 19-licensee roster is mature and consolidated; static count since Q4 2024 alongside +27% online GGR suggests incumbents capture the growth.

- Five dual-class (Betathlon/Cybet, Bet on Alfa, OPAP Sports/Allwynbet, Meridian, Cleverpath/Megabetplus); one retail-only (Bookieco, Feb 2026); eight online-only (bet365, UBET, Winmasters, Fonbet, Stoiximan, IN2BET, Novibet, CopyBet).
- Newest online entrant Novibet (Sep 2025); recent renewals UBET (Apr 2026), Winmasters (May 2026), CopyBet (Jun 2026).
- NBA discloses no operator GGR; Stoiximan, Novibet, Allwynbet and bet365 are the obvious leadership candidates by inference.

B2B SUPPLIER LICENSING

A drafted bill introducing B2B supplier licensing is the single most relevant Cyprus development for a technology company; timing is not fixed.

- NBA chair said in Nov 2025 and Aug 2026 the bill takes 'a more holistic approach' to unlicensed activity and provides for legal inclusion of new betting products.
- Supplier licensing was described as 'long overdue' given the density of gaming-technology companies headquartered in Cyprus.
- It converts an informal hub into a licensed one with ownership, governance and activity disclosure, and will likely require Class B operators to source only from licensed suppliers.
- The bill has not yet been tabled in the House as far as the public record shows.

> *“a more holistic approach”* — **NBA chair**

REGIME PARAMETERS (€, ~$ AT 1.1394)	PARAMETER	DETAIL	SOURCE / STATUS	CHANGE VS 2024	NOTE
Regulator	National Betting Authority (NBA)	Betting Law 37(I)/2019 as amended (162(I)/2024)	Primary (NBA / cylaw)	—	Casino: CGC; lottery: OPAP Cyprus concession
Licence classes	Class A land-based; Class B online	Excludes horse racing (A); slots, online casino, e-horse racing (B); no exchange/spread/RNG	Primary (NBA report terminology; law)	—	No online casino licence exists
Licence fee	€30,000 (~$34.2k) 1-yr; €45,000 (~$51.3k) 2-yr	Agents/extra premises €2,000/€3,000; €170/month pro-rata	Primary (R.A.A. 84/2019 via NBA)	unchanged	75% refund if refused
Capital / guarantee	€500,000 (~$0.57m) paid-up; €550,000 (~$0.63m) bank guarantee	Cyprus co. or branch; .com.cy; backup server in Cyprus	Secondary (law-firm summaries, consistent)	unchanged	Guarantee valid 6 months post-expiry
Tax base	**Net betting proceeds (X − Y) = GGR**	**Free bets deemed paid (s.74(7)); voids/withdrawals in Y**	**Primary (Directive 14.2025.v2)**	**—**	**No turnover tax**
Betting tax rate	10% of GGR to the Republic	Paid monthly by end of following month	Primary	unchanged	
Contribution rate	5% of GGR to NBA (4% + 1%)	4% → sport via KOA (football share 3%); 1% → youth/harm	Primary (Directive; cylaw)	3% → 5% from 30 Dec 2024	Press reported 4.5% at bill stage — regulator figure used
All-in levy	**15% of GGR**	**Q2-26: €7.03m (~$8.0m); FY25: €24.3m (~$27.7m)**	**Primary (NBA)**	**13% → 15%**	
Licensees	6 Class A / 13 Class B (19)	5 dual-licensed; 8 online-only; 1 retail-only	Primary (registers)	B: 13 (14 peak Q2-Q3 24); A: 6	
Online licensees (brand — entity — expiry)	bet365 (Hillside, 31/12/26); Allwynbet (OPAP Sports, 31/12/26); Bet on Alfa (23/1/27); Stoiximan (30/1/27); IN2BET (9/2/27); Cybet (Betathlon, 8/3/27); Meridianbet (19/3/27)	Megabetplus/Scorebet (Cleverpath, 12/5/27); Novibet (Gamart, 14/9/27); Fonbet (Fortune Ent., 19/10/27); UBET (31/3/28); Winmasters (Level Up, 24/5/28); CopyBet (17/6/28)	Primary (Class B register)	Novibet added Sep 2025	Market shares: n/a (not published)
Retail licensees	Cybet/Betathlon; Bet on Alfa; Allwynbet/OPAP Sports; Meridian; Megabetplus/Cleverpath; Bookieco	461 premises; 338 agents	Primary (Class A register)	Bookieco licensed Feb 2026	
Casino regime (for comparison)	Melco single licence, 30 yrs from 2017; exclusivity to 2032	15% GGR duty, frozen during exclusivity	Secondary (law-firm notes; Melco)	—	FY25 GGR €227m (~$258.6m)
Lottery regime (for comparison)	OPAP Cyprus exclusive 15-yr concession (2024)	22.5% GGR tax + 5% GGR sponsorship	Secondary (iGB; Focus GN)	new 2024	Cyprus GGR n/a
Pending: B2B supplier licensing	**Draft bill; licence regime for platform/software/service suppliers**	**Also 'legal inclusion of new products' (undefined)**	**Secondary (NBA chair via SBC, Cyprus Mail)**	**new**	**Not yet tabled — timing unverified**

6 DEEP-DIVE — CASINO, LOTTERY & ADJACENT VERTICALS

Casino GGR €227m in 2025 (+20%) under Melco's exclusive licence; Q2-26 Cyprus revenue US$82m (+13%) and EBITDA +60%; lottery sits with OPAP Cyprus on a 15-year exclusive — neither is contestable before 2032.

CASINO FRAMEWORK

Land-based casino is a single 30-year licence with 15 years' exclusivity from 2017 to 2032 and a fixed 15% GGR duty, held by Melco.

- Regulated by the Cyprus Gaming and Casino Supervision Commission (CGC), established 2017; licence renewable from year 12; duty cannot be raised during exclusivity, with only a free-play allowance deductible.
- Melco (ICR Cyprus, 75% Melco / 25% Cyprus Phassouri) opened City of Dreams Mediterranean in Zakaki, Limassol in July 2023 after a temporary casino.
- Up to four satellite casinos permitted (Nicosia, Larnaca, Paphos, Ayia Napa); Melco's Q2 2026 release refers to 'three satellite casinos'; Larnaca reportedly closed [unverified against CGC].

CASINO PERFORMANCE

Casino GGR reached €227m (~$258.6m) in 2025, +20.1%, c.1.4x licensed betting GGR; Melco's Q2 2026 Cyprus EBITDA rose 60%.

- CGC report (relayed by press, Apr 2026): €130m (~$148m) in 2023, €189m (~$215m) in 2024; Limassol resort generated 86% of 2025 GGR.
- Implied 2025 duty at 15% is c.€34m (~$39m), an estimate; CGC's own tax-take figure was not located.
- Combined regulated betting + casino pool in 2025 was €388.8m (~$443m), before lottery.
- Melco Q2 2026 Cyprus revenue US$82.0m vs US$72.3m (+13.4%); Adjusted EBITDA US$19.9m vs US$12.4m (+60%), attributed to easing Middle-East travel disruption — casino is tourism-geared, betting domestic.

LOTTERY

Lottery and numerical games are reserved to OPAP Cyprus under a 15-year exclusive concession from mid-2024, running to 2039.

- OPAP present since 1969 under a Greece–Cyprus intergovernmental arrangement; designated games include Joker, Lotto, Proto, Kino, Super 3, Extra 5, Propo, Propogoal.
- OPAP pays 22.5% of GGR in tax plus 5% for sporting, social and charitable sponsorship, plus a concession fee in annual instalments (amount not verified).
- Cyprus GGR not disclosed; Edison put Cyprus at c.7% of group GGR in H1 2024, implying very roughly €170m against FY2025 group GGR of €2,407.9m — an estimate only.
- OPAP's Cyprus betting arm trades as Allwynbet under Class A and B licences, so the lottery incumbent is also a full betting competitor.

CONTESTABILITY

Sports betting is the only contestable vertical: land-based casino is locked until at least 2032, online casino is illegal, lottery exclusive until 2039.

- An operator cannot bundle casino with sportsbook in Cyprus; typical European cross-sell economics do not apply.
- The casino monopoly leaves no licensed online competitor for casino-style spend, keeping the offshore market and the NBA's blocking list large.

CASINO & LOTTERY — € / US$ AS REPORTED	METRIC	2023	2024	2025	LATEST QUARTER (Q2-26)
Casino GGR (CGC report, all venues)	**€130m (~$148m)**	**€189m (~$215m), +45%**	**€227m (~$258.6m), +20.1%**	**n/a (CGC quarterly not published)**	
Limassol (City of Dreams Mediterranean) share of GGR	n/a	n/a	86%	n/a	
Implied 15% gaming duty (estimate)	~€19.5m	~€28.4m	~€34.1m (~$38.8m)	n/a	
Melco Cyprus operating revenue (company)	n/a	n/a	n/a	US$82.0m vs US$72.3m, +13.4%	
Melco Cyprus Adjusted EBITDA (company)	n/a	n/a	n/a	US$19.9m vs US$12.4m, +60%	
Casino venues	IR (opened Jul 2023) + 4 satellites	IR + 4 satellites	IR + 4 satellites (per CGC report)	IR + 3 satellites (per Melco)	
Casino licence terms	30 yrs from 2017; 15-yr exclusivity to 2032; 15% GGR duty frozen	—	—	—	
OPAP Cyprus — Cyprus GGR	n/a	c.7% of OPAP group GGR (H1-24, Edison)	n/a (rough estimate ~€170m)	n/a	
OPAP Cyprus — concession & tax	—	15-yr exclusive concession signed mid-2024	22.5% GGR tax + 5% GGR sponsorship	—	
Regulated GGR, betting + casino (ex-lottery)	**€253.4m (~$289m)**	**€346.7m (~$395m)**	**€388.8m (~$443m), +12.1%**	**—**	

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING, ADVERTISING & ENFORCEMENT

Card/bank-rail-only payments, a 22,660-domain blocking list, a national self-exclusion scheme going omnichannel, and a regulator seeking social-media advertising powers — compliance cost is rising even as tax is flat.

PAYMENTS

Online payments are restricted to bank, card, electronic transfer and authorised e-money; cash and crypto are prohibited for Class B accounts.

- Player funds must sit in segregated accounts at a Cyprus credit institution with written undertakings against set-off; bets require sufficient cleared funds.
- Secondary sources cite a five-working-day pay-out requirement [unverified in the law text].
- Retail betting is cash-based at the counter, the practical reason dual-licensed operators enjoy a cash-in advantage.
- Mobile money is not a feature; Cyprus is a euro-area card and bank-transfer economy with instant SEPA widely available.

RESPONSIBLE GAMBLING

The national self-exclusion scheme, launched 20 February 2024, is going omnichannel under the 2026–2028 strategic plan amid rising political concern.

- Single registration excludes players temporarily or indefinitely from all licensed online bookmakers; operators integrate by API and must suppress marketing to excluded players.
- Plan extends exclusion to land-based premises, strengthens treatment with the National Addictions Authority, funded partly by the 1% harm-prevention slice.
- NBA 2026 youth survey (1,000 respondents aged 18–35): 93% exposure to gambling content on social media, 89% to paid betting/online-casino advertising, 77% to influencer promotions.
- Chair cites problem-gambling prevalence of around 3% (secondary report; methodology not verified).
- The 9th Safer Gambling Week (12–18 Oct 2026) opened with the Finance Minister's message — the clearest signal of the political mood.

> *"cannot and must not be assessed solely on the basis of economic indicators"* — **Finance Minister**

ADVERTISING

Expect tighter rules on influencer marketing, bonus advertising and platform takedowns within the 2026–28 horizon rather than an outright ad ban.

- A Code of Practice on Betting Advertising was consulted on in Feb 2019 under the predecessor law; current directive text not read [unverified].
- The NBA plans to strengthen its powers over illegal promotions on social media, mobile apps and search platforms, with the youth survey as evidence base.
- A proposal to restrict gambling by Guaranteed Minimum Income recipients surfaced in September 2026 [details unverified].

ENFORCEMENT

ISP blocking under ss.83–87 covered 22,660 domains at end-June 2026 (+4.7% YoY); enforcement direction is supportive for licensed operators.

- List grew +245 in Q2 and +406 in Q1, from 2,638 in Q1 2017; published as a live text file; blocking in operation since 2015.
- Sanctions cited by secondary sources: up to one year and/or €50,000 (~$57k) for participating; up to five years and/or €300,000 (~$342k) for providing; NBA fines up to €100,000 (~$114k) per finding.
- NBA chair repeatedly calls for EU-level coordination against offshore operators and AI/data detection tools — a theme of the Oct 2026 conference.
- For suppliers, serving blocked operators into Cyprus will become a licensing issue once the B2B regime arrives.

PAYMENTS, RG & ENFORCEMENT PARAMETERS	ITEM	RULE / VALUE	SINCE / STATUS	SOURCE	NOTE
Accepted funding (Class B)	Bank transfer, debit/credit card, authorised e-money	In force (Betting Law)	Secondary (law-firm summaries, consistent)	No cash, no crypto	
Client funds	Segregated account at Cyprus credit institution; no set-off; bet only against cleared funds	In force	Secondary	Pay-out ≤5 working days [unverified]	
Retail payments	Cash at counter; agent-collected	In force	Primary (Class A model)	Cash-in advantage for dual-licensed operators	
Self-exclusion	**National online platform; temporary or indefinite**	**20 Feb 2024; retail extension planned 2026–28**	**Primary (NBA plan via press) / secondary**	**API integration + marketing suppression**	
Youth exposure survey (18–35, n=1,000)	93% social media; 89% paid ads; 77% influencers	Jul 2026	Secondary (Cyprus Mail reporting NBA survey)		
Problem-gambling prevalence	c.3% (per NBA chair)	2026 statements	Secondary	Methodology unverified	
Advertising code	NBA Code of Practice / directives; social-media & app enforcement powers sought	Code consulted Feb 2019; new powers announced 2026	Primary (NBA doc exists) / secondary	Current text not read — [unverified]	
GMI-recipient restriction	Proposal to restrict gambling by Guaranteed Minimum Income recipients	Sep 2026, under discussion	Secondary (SCCG)	Details [unverified]	
Blocking list (cumulative domains)	**22,660 (+245 QoQ; +4.7% YoY)**	**Since 2015; ss.83–87**	**Primary (NBA)**	**2,638 in Q1-2017**	
Penalties	Participation: ≤1 yr / €50k (~$57k); provision: ≤5 yrs / €300k (~$342k); admin fines ≤€100k (~$114k)/finding	In force	Secondary	Tax >60 days overdue recoverable from €550k guarantee	
Safer Gambling Week	9th edition, 12–18 Oct 2026	Annual	Secondary (press)	Finance Minister & NBA chair messaging	

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Online GGR is compounding at +24–27% (Q2 +27.2%, H1 +23.9%) with a static 13-licensee base: the regulated online pool is c.€120–125m (~$137–142m) annualised vs €99.7m in FY2025, and online share of GGR has risen every year (55.8% FY23 → 64.6% H1-26). Growth is accruing to incumbents, which is the argument for entering via acquisition or partnership rather than greenfield. structural
- Fiscal regime is predictable and GGR-based: 15% all-in (10% + 5%) on net proceeds, no turnover tax, monthly settlement, and no change signalled since the Dec 2024 rise. Betting is also the lightest-taxed vertical on the island (casino 15% + corporate, OPAP 22.5% + 5%), supporting mid-teens EBITDA margins for scaled operators. structural
- Entry is cheap on fees and uncapped: €30,000/€45,000 (~$34k/$51k) licence, c.€1.05m (~$1.2m) capital + guarantee, two-year terms, no numerical cap and no local-ownership rule. The NBA has shown it will license new online brands (Novibet 2025, CopyBet, Fonbet) and retail entrants (Bookieco 2026). structural
- Hold expansion shows pricing power: blended 14.2% (series high), retail 21.5%, online 12.0%. Even on a normalised 12–13% blended hold, stakes growth of 10–12% supports high-single to low-double-digit GGR growth. mixed
- Retail remains a cash-flow positive, agent-financed channel (+17.5% GGR, flat shops, employment +10%), and dual-licensed operators use 461 premises as cash-in/cash-out points — a partnership lever for an online entrant. structural
- B2B supplier licensing (draft bill, 2025–26) would give platform, odds-feed and software providers a formal EU-regulated credential in a jurisdiction that already hosts a dense gaming-technology cluster; early engagement in the consultation is an opportunity for B2Tech as a supplier regardless of any B2C decision. early
- FIFA World Cup 2026 (11 Jun–19 Jul) falls mostly in Q3: only ~20 days sat in the record Q2, so the Q3 2026 print should show a further stakes step-up; the NBA itself has flagged a positive tournament effect. one-off

▼ LOWLIGHTS

- Product scope is sportsbook-only: no online casino, slots, poker, exchange, spread or RNG products are licensable, land-based casino is Melco-exclusive to 2032 and lottery is OPAP-exclusive to 2039. There is no casino cross-sell to fund acquisition, and offshore casino demand (89% of 18–35s saw online-casino ads; 22,660 blocked domains) will keep leaking. structural
- Levy ratchet precedent: parliament raised the contribution from 3% to 5% in Dec 2024 explicitly to fund football clubs, over Finance-Committee dissent about rewarding indebted clubs. With sport and treatment funding both tied to betting GGR, further increments to the contribution are the most likely fiscal risk; the 10% betting tax itself looks stable. structural
- Promotions are inside the tax base (s.74(7): free/discounted bets deemed paid in full), raising the effective levy on bonus-led acquisition well above 15% of cash GGR for promo-heavy entrants. structural
- Hold is at a series high and will mean-revert: Q3 is seasonally the weakest-hold quarter (11.2% in Q3-25) and a return to a 12% blended hold would strip c.15% from GGR at constant stakes. Q2's +23.6% GGR growth overstates the underlying +10.6% stakes trend. mixed
- Incumbent density and opacity: 13 online licensees, five of them omnichannel, led by Greek-market scale brands (Stoiximan, Novibet, Allwynbet/OPAP) and bet365; the NBA publishes no operator shares, so an entrant cannot size the contestable share from public data and must model on inference. watch
- Player-protection and advertising tightening is the policy direction: retail self-exclusion, social-media/app/search enforcement powers, possible restrictions on Guaranteed Minimum Income recipients and explicit ministerial messaging that growth is not the metric. These add compliance cost and constrain influencer/bonus marketing, the channels the NBA's own survey shows reach young adults. governance
- Small absolute scale: €47m of quarterly GGR across 19 licensees (~€2.3m average per online licensee) means a sub-scale entrant carrying €1.05m of tied capital, a Cyprus entity, local server, Greek-language product and 15% levy needs a mid-single-digit share just to cover fixed compliance costs. structural
- Nomenclature risk in the regulator's own data: the NBA labels stakes as 'comprehensive income' and even 'gross gaming revenue (pay in)' while calling GGR 'net gambling revenue'; press repeatedly reports the €330m–360m stakes figure as 'the market'. Internal sizing must be anchored on the €46.9m/quarter net-proceeds line. governance

9 FORECAST & OUTLOOK

Guidance bridge. The base has moved. FY2025 licensed-betting GGR was €161.8m (~$184.4m), only +2.6% as hold normalised; H1 2026 delivered €92.8m (~$105.7m), +16.8%, with online (Class B) contributing €59.9m (+23.9%) and retail €32.9m (+5.7%). The second half carries the bulk of the FIFA World Cup (Q3) and the seasonally strongest Q4 (Q4-25 GGR €47.4m), offset by likely hold normalisation from Q2's 14.2% toward the 12–13% range. Regulatory moving parts — B2B supplier licensing, retail self-exclusion, social-media advertising powers, GMI-recipient restrictions — are compliance-cost events, not tax events; the 15% GGR levy has no announced change. Licensee count (6 + 13) is unlikely to move materially before the Dec 2026–Mar 2027 renewal cluster.

FY2025 GGR (actual, NBA)	H1 2026 delivered (actual, NBA)	H2 2026E — World Cup Q3 + seasonal Q4, hold 12–13% (estimate)	FY2026E GGR (estimate)
€161.8m (~$184.4m)	**€92.8m (~$105.7m)**	**€90–96m (~$103–109m)**	**€183–189m (~$208–215m)**
+2.6% YoY; hold 12.2%	+16.8% YoY (+€13.3m); online +23.9%, retail +5.7%	+9% to +16% vs H2-25 €82.4m	+13% to +17% YoY; levies €27–28m (~$31–32m)

Independent view. Market: we expect licensed betting GGR of **€183–189m in 2026 (+13–17%)** and a return to **high-single/low-double-digit growth in 2027** as hold normalises, with online passing **two-thirds of GGR** and retail flat-to-low-single-digit; stakes should exceed **€1.45bn** in 2026. The regulated online pool approaches **€130m by 2027** — meaningful for a regional operator, not for a global one. **Margin:** 15% all-in GGR levy is stable; the risk is a further contribution increment (sport/treatment funding) rather than a change to the 10% tax, and promo taxation keeps effective rates above headline for acquisition-led players. **Rules:** direction is protective and supply-side — expect the B2B supplier licensing bill to be tabled within 12 months, retail self-exclusion and social-media/app advertising powers within the 2026–28 plan, and no move to legalise online casino; casino exclusivity (2032) and the OPAP concession (2039) are not in play. **Enforcement** stays blocking-led with growing EU cooperation. **For B2Tech:** the B2C case is a share-take from 13 incumbents in a Greek-language, sportsbook-only market with c.€1.1m of tied capital and no casino margin — viable only with a differentiated product or an acquisition of an existing Class B licensee; the B2B case is stronger, because supplier licensing will formalise access to all 13 online operators and the technology cluster already on the island.

What to watch next quarter:

- Q3 2026 NBA release (c. Jan 2027): full World Cup effect on stakes and whether blended hold reverts below 13%; online share of GGR vs 64.4%.
- Tabling and text of the NBA's reform bill: scope of B2B supplier licensing (fees, ownership disclosure, whether Class B operators must use licensed suppliers), and what 'new products' means (virtuals? pools? not casino).
- Renewal cluster Dec 2026–Mar 2027: bet365 and Allwynbet (31 Dec 2026), Bet on Alfa, Stoiximan, IN2BET, Cybet, Meridian — any new conditions attached, and any net change to the 13-licensee count.
- Advertising: issuance of social-media/app/search enforcement powers and any directive on influencer and bonus marketing following the 93%/89%/77% youth-exposure survey.
- Retail self-exclusion rollout and the Guaranteed Minimum Income restriction proposal — operational cost for 461 premises and 338 agents.
- Fiscal: any proposal to lift the 5% contribution again (sport or treatment funding) ahead of the 2027 budget; H1-26 levy run-rate €13.9m.
- Casino/lottery adjacency: CGC annual GGR for 2026 (2025: €227m), Melco's satellite footprint, and OPAP/Allwynbet's omnichannel push into betting.
- Blocking list growth (>22,660) and any EU-level cooperation mechanism the NBA secures against offshore casino operators targeting Cypriots.

DATA CONFIDENCE: MEDIUM HIGH confidence on all licensed-betting figures (stakes, pay-out, GGR, tax, contribution, licensees, premises, employees, blocking list) — taken directly from the NBA's Q2 2026 report and quarterly series 2023–26, cross-checked against Cyprus Mail and Kiprinform coverage; percentages recomputed from raw euro figures (NBA rounds, e.g. '+11%' = +10.6%). HIGH on fees, tax base and rates (NBA fee page, Directive 14.2025.v2, consolidated Law 37(I)/2019 via cylaw). MEDIUM on licensing capital/guarantee/server and payment-method rules (consistent across several law-firm summaries but the statute text was not read in full). MEDIUM on casino: CGC GGR (2023–25) relayed by press from a CGC report; Melco figures are company-reported; satellite count/Larnaca closure unverified. LOW/n-a on lottery: OPAP Cyprus GGR not published (the ~€170m figure is a rough estimate from a 7% group share); concession fee unverified. Not verified: current advertising directive text, GMI-recipient restriction details, 3% problem-gambling prevalence methodology, five-day pay-out rule, player-level taxation of winnings, operator market shares (not published). Contribution rate gap: press at bill stage (Dec 2024) reported 4.5%; the enacted/applied rate per NBA data and cylaw is 5% — regulator figure used. FX: EUR/USD 1.1394 (ECB reference rate, 30 Jun 2026); other sources quote 1.142–1.151 for the same date; all ~USD figures are approximate conversions at this single rate.

Sources: [Primary] National Betting Authority — Quarterly Financial Results and Quantitative Data (Q2 2026 page, with Q1 2026 and 2017 archive); [Primary] NBA — Financial Results & Quantitative Data Report, April–June 2026 (PDF, 23 pp., full 2023–26 quarterly series by Class A/B); [Primary] NBA — Financial Results & Quantitative Data Report, January–March 2026 (PDF); [Primary] NBA — Fees (Betting (Payable Fees) Regulations R.A.A. 84/2019); [Primary] NBA — Tax and Contribution page; [Primary] NBA — Directive 14.2025.v2, Calculation and Payment of Betting Tax and Contribution (10% + 4% + 1%); [Primary] NBA — Register of Class B (online) licensed bookmakers; [Primary] NBA — Register of Class A (land-based) licensed bookmakers and agents/premises; [Primary] cylaw.org — Ο περί Στοιχημάτων Νόμος του 2019, 37(I)/2019 (consolidated; contribution 5%, as amended by 162(I)/2024); [Primary] NBA — Blocking list (live file); [Primary] NBA — Strategic Plan 2026–2028 (PDF; referenced via Cyprus Mail, not read directly); [Primary] Melco Resorts & Entertainment — Unaudited Second Quarter 2026 Earnings (City of Dreams Mediterranean and Other); [Secondary] Gaming Intelligence — Cyprus sports betting grows by 11% in Q2 2026 (22 Oct 2026; paywalled lead); [Secondary] Cyprus Mail — Cyprus gamblers wager less, bookmakers walk away with more (20 Oct 2026); [Secondary] Cyprus Mail — Cyprus betting boom must not come at players' expense, Keravnos warns (16 Oct 2026); [Secondary] Cyprus Mail — Cyprus gambling regulator urges tougher action against illegal betting market (13 Oct 2026); [Secondary] Cyprus Mail — Cypriots bet big as market reaches €360m (Q1 2026, 16 Jul 2026); [Secondary] Cyprus Mail — Betting authority to tackle illegal websites (B2B licensing and new products in draft bill, 13 Nov 2025); [Secondary] Kiprinform — Cyprus betting wagers fall to €329.8m as operators retain more in second quarter (corroboration); [Secondary] SBC News — Cyprus lays down groundwork for effective gambling regulation (Trisokkas interview, 3 Aug 2026); [Secondary] Gambling.com — Cyprus plans first licensing regime for B2B gambling suppliers (4 Aug 2026); [Secondary] EEGaming — National Betting Authority of Cyprus prepares new regulatory framework (4% sport / 1% harm split; 4 Aug 2026); [Secondary] iGaming Express — Cyprus calls for EU action on illegal betting (penalties; 14 Oct 2026); [Secondary] Gambling Insider — Cyprus Parliament approves betting levy increase to support football clubs (13 Dec 2024); [Secondary] FastForward.com.cy — Increased betting revenue allocation for football clubs approved (Dec 2024); [Secondary] Economy Today (Sigmalive) — NBA interview: 10% tax + 5% contribution, 4% to KOA; World Cup outlook (Feb 2026, Greek); [Secondary] Kiprinform — Casino gambling proceeds rose steadily in Cyprus in 2024–2025 report (CGC GGR €130m/€189m/€227m); [Secondary] Michael Kyprianou Law Firm — The Republic of Cyprus Integrated Casino Resort (30-yr licence, 15-yr exclusivity, 15% GGR duty); [Secondary] iGaming Business — OPAP secures exclusive concession agreement in Cyprus (22.5% GGR tax + 5% sponsorship; 2024); [Secondary] Edison Group — OPAP analysis (Cyprus c.7% of group GGR, H1 2024); [Primary] OPAP — Annual Financial Report 2025 (group GGR €2,407.9m); [Secondary] Zeno Legal — Cyprus Betting & Gaming Licence 2026: Class A & B guide (capital, guarantee, 15% levy); [Secondary] Nuxgame — Cyprus Gambling License 2026 (payment methods, server, segregation, penalties); [Secondary] Chambers & Co — Sports betting licence in Cyprus (payment methods, prohibited products); [Secondary] Cyprus Mail — Players can now exclude themselves from online betting platforms (self-exclusion launch, 20 Feb 2024); [Secondary] SCCG Management — Cyprus weighs restrictions on gambling for Guaranteed Minimum Income recipients (8 Sep 2026); [Primary] NBA — Code of Practice on Betting Advertising (consultation paper, Feb 2019; current directive not read); [Secondary] divisasboe.es — Official EUR/USD (ECB reference) 30 Jun 2026: 1.1394.

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.